

Sharpe ratio is calculated using average weekly returns, not total capital appreciation over the year.

The Sharpe ratio is also revealing when comparing bitcoin to the broader market indices of the S&P 500, the DJIA, and the NASDAQ 100. We already know these indices had lower annual returns than bitcoin and the FANG stocks, but they also had lower volatility given they were made up of diversified baskets of stocks, and diversification helps reduce volatility. Furthermore, these indices are made up of large market cap¹² names, especially the DJIA. As we saw with AT&T, many of these large cap stocks have been around for a long time and are relatively steady when compared with fast-moving tech names. [Figure 7.17](#) shows a comparison of bitcoin's Sharpe ratio to the aforementioned three broad market indices, using the same period that we used for comparing the absolute returns of these assets: July 19, 2010 through January 3, 2017.

